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TERMS OF CONTRACT OF SALE

As earlier stated, the rules that cover terms of contract in the general law of contract also apply to Contracts for Sale of goods. It is of interest to note that the terms of contract were traditionally divided into conditions and warranties. However, in recent years a third type has been recognized, namely the fundamental term of the Contract. The terms of a contract of sale may be written, orally made or implied from the conduct of the parties.

❖ Exclusionary Terms or Exemption Clauses:

These are express terms in a contract that seeks to mitigate liability or exclude liability for negligence or breach of contract. They may be effectively used to place a limit on the amount that can be claimed for a breach of contract or to bar the commencement of an action for breach. However, note that in Contracts of Sale, all exclusionary terms and Clauses they are contained in must always be expressly stated in order to gain efficacy.

It is a common commercial practice for a contract to contain express terms whereby parties to the contract may limit or exclude liability for breach of contract or negligence arising whilst performing the contract.

By **SECTION 55 of the SGA, 1893**, the parties to a contract are free to exclude or vary any of the terms implied under the Act. This section provides thus:

“where any right, duty, or liability would arise under a contract of sale by implication of law, it may be negated or varied by express agreement or by the course of dealing between the parties, or by usage, if the usage be such as to bind both parties to the contract.”

Such exemption clauses or limiting clauses are generally held to be binding and are usually found in Standard Form Contracts. In **L'Estrange v Graucob**, the plaintiff who ran a café bought a cigarette slot machine from the defendant and signed a written contract which contained a clause in small print stating that: ‘any express or implied condition, statement of warranty, statutory or otherwise not stated herein is hereby excluded’. The plaintiff did not read the clause. The machine proved unsatisfactory and was not of merchantable quality. It was held that the plaintiff had no remedy against the defendant (seller).

However, it should be noted that the Courts have taken positive steps to control the invocation of these exemption clauses because such clauses are always brought into play against the buyer. The courts have tried to mitigate their injustice by resort to any loophole, as held in the case of **Andrews Ltd v Singer & Co Ltd**. Here a buyer ordered New Singer Cars from the manufacturers. A clause in the contract of sale excluded all warranties, conditions and liabilities implied by statute, common law or otherwise. One of the cars delivered was an old car. The

manufacturer was held liable because the term New Singer Car was an express term and not an implied term.

❖ **Exemption Clauses may apply in Contracts of Sale as follows:**

1. Where they exist, exemption clauses must be expressly stated/underlined as an integral term of the agreement (either orally or in a signed document which would make it binding on the parties), which the parties all have actual notice of before the contract is fully concluded. In the case of **Olley v Marlborough Court Hotel Ltd**, Mrs Olley was a guest at the hotel. Her items were stolen during her stay. She sued the hotel for damages. The hotel pointed to an exclusion clause on a notice behind the door in her room which exempted the hotel from any risk or liability in such cases. The court held that such a notice must be given before the formation of the Contract and that the hotel was liable.

2. A fundamental breach of contract would make a contract void and accordingly, all terms of the contract, including exemption clauses will be vitiated. Thus, a party who breached a fundamental term cannot invoke an exemption clause in the contract to exclude his liability.

3. Ordinarily, a person who signs a contractual document is bound by the terms of that document as held in the case of **L'Estrange v Graucob (supra)**.

Where the plaintiff is however induced by fraud or misrepresentation on the part of the defendant or his agent to sign a document that binds him to an exemption clause, such a plaintiff will not be bound.

4) The doctrine of privity does not allow (i.e., it prevents) third parties or aliens to a contract protection under an exemption clause in a contract.

5. Exemption clauses apply only to the particular contract they are terms of (part of) and therefore, not to alien (other) contracts.

6. Ambiguities in exemption clauses must be resolved strictly against the party relying on it.

Apart from exemption clauses, parties in contracts enjoy a relative freedom to make their contract and agree on terms favourable to them. These terms may take the nature of warranties, conditions or fundamental terms depending on the intention of the parties, as manifest in their agreement (that decides the nature of a term). Thus, a stipulation or term may be a condition though called a warranty in the contract.

'A Condition' is an obligation or term of a contract which is of vital importance and goes to the root of the contract, the breach of which may give to a right to treat the contract as repudiated as well as to sue for damages. It is of greater importance than a warranty.

'A Warranty' on the other hand, is a term which though must be performed, if not so vital that a failure to perform it goes to the substance of the contract. **SECTION 62 of the SGA, 1873** defines the term as:

“An agreement with reference to goods which are the subject matter of a contract of sale, but collateral to the main purpose of such contract, the breach of which gives rise to a claim for damages but not to a right to reject the goods and treat the contract as repudiated.”

Thus, a warranty is an ancillary obligation under a contract which may be of lesser importance in comparison to a condition.

The difference between a condition and a warranty is one of degree. And whether a term is a condition or a warranty depends, in each case, on the intention of the parties as manifest in their agreement. It is of interest to note that a warranty in one contract may be a condition in a different contract. The above differences between a condition and a warranty based on consequences is set out or captured in **SECTION 11(1) SGA**

In **POUSSARD v SPIERS**, an opera singer was engaged to play a leading part in a French operetta at the beginning of its run. As a result of illness, she was unable to take up the role until a week after the performance had started. The producers engaged a substitute to replace her and she instituted an action against them for breach of contract. It was held that her failure to appear as agreed constituted a breach of condition and that the defendants were entitled to treat the contract as discharged.

Conversely, in **BETTINI v GYE**, the defendant entered into a contract for the plaintiff to sing in Operas and Concerts for a period of 3 months. The plaintiff undertook to be available for rehearsals 6 days before the commencement. She arrived 4 days late and the defendant repudiated the contract. It was held that the term relating to rehearsals was a ‘warranty’ and the defendant could not repudiate the contract but could sue for damages.